Local projections: Reading list

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This document is merely meant to complement my introductory slides on local projections. I do not attempt to cite the history of thought or to fairly assign intellectual credit.

Introductory overviews

1. Jordà, Ò., and Taylor, A. M. (2025). "Local Projections." *Journal of Economic Literature* 63(1), 59–110.

2. Kolesár, M., and Plagborg-Møller, M. (2025). "Dynamic Causal Effects in a Nonlinear World: the Good, the Bad, and the Ugly." *Journal of Business & Economic Statistics* 43(4), 737–754.

3. Li, D., Plagborg-Møller, M., and Wolf, C. K. (2024). "Local Projections vs. VARs: Lessons From Thousands of DGPs." *Journal of Econometrics* 244(2), 105722, Themed Issue: Macroeconometrics.

4. Montiel Olea, J. L., Plagborg-Møller, M., Qian, E., and Wolf, C. K. (2025). "Local Projections or VARs? A Primer for Macroeconomists." *NBER Macroeconomics Annual*, forthcoming.

5. Stock, J. H., and Watson, M. W. (2018). "Identification and Estimation of Dynamic Causal Effects in Macroeconomics Using External Instruments." *Economic Journal* 128(610), 917–948.

Tools

1. Barnichon, R., and Brownlees, C. (2019). "Impulse Response Estimation by Smooth Local Projections." *Review of Economics and Statistics* 101(3), 522–530.

2. Gorodnichenko, Y., and Lee, B. (2020). "Forecast Error Variance Decompositions with Local Projections." *Journal of Business & Economic Statistics* 38(4), 921–933.

3. Herbst, E. P., and Johannsen, B. K. (2024). "Bias in Local Projections." *Journal of Econometrics* 240(1), 105655.

4. Montiel Olea, J. L., and Plagborg-Møller, M. (2019). "Simultaneous Confidence Bands: Theory, Implementation, and an Application to SVARs." *Journal of Applied Econometrics* 34(1), 1–17.

5. Piger, J., and Stockwell, T. (2025). "Differences From Differencing: Should Local Projections With Observed Shocks Be Estimated in Levels or Differences?" *Journal of Applied Econometrics*, forthcoming.

6. Plagborg-Møller, M. (2016). "Estimation of Smooth Impulse Response Functions." Chapter 3 of "Essays in Macroeconometrics," PhD dissertation, Harvard University.

Advanced topics

1. Gonçalves, S., Herrera, A. M., Kilian, L., and Pesavento, E. (2024). "Nonparametric Local Projections." Manuscript, McGill University.

2. Lazarus, E., Lewis, D. J., Stock, J. H., and Watson, M. W. (2018). "HAR Inference: Recommendations for Practice." *Journal of Business & Economic Statistics* 36(4), 541–559.

3. Montiel Olea, J. L., and Plagborg-Møller, M. (2021). "Local Projection Inference is Simpler and More Robust Than You Think." *Econometrica* 89(4), 1789–1823.

4. Plagborg-Møller, M., and Wolf, C. K. (2021). "Local Projections and VARs Estimate the Same Impulse Responses." *Econometrica* 89(2), 955–980.

5. Plagborg-Møller, M., and Wolf, C. K. (2022). "Instrumental Variable Identification of Dynamic Variance Decompositions." *Journal of Political Economy* 130(8), 2164–2202.

6. Xu, K.-L. (2023). "Local Projection Based Inference under General Conditions." Manuscript, Indiana University Bloomington.